

reach US\$ 1.46 billion by 2019, at a CAGR of 35.9 per cent, over the period 2014-19.

Key factors that are expected to boost the market include declining LED prices coupled with favourable government initiatives that provide LED lights at a subsidised cost and promote LED streetlighting projects. In addition, growing awareness among consumers regarding various awareness programmes by manufacturers and regulatory bodies is expected to play a vital role in shaping the country's LED market over the next five years.

Then, there is the replacement of conventional lighting with LEDs. Also, rising consumer awareness about cost effectiveness, enhanced life, better efficiency and inherent eco-friendly nature of LED lights will continue to drive volume sales from industrial, residential and commercial sectors.

India's pledge at the climate summit in Paris (COP21) clearly articulates its intention to follow "a cleaner path than the one followed hitherto by others at a corresponding level of economic development." To this end, India has rapidly established goals to expand its use of renewable energy and more efficient technologies.

After the introduction of Compulsory Registration Order (CRO) by the government's Department of Electronics and Information Technology (DeitY), the industry is expected to grow with renewed vigour. It has started manufacturing most components of LED retrofit lamps in India.

The government has further decided that all future procurements for various projects will be only for LED

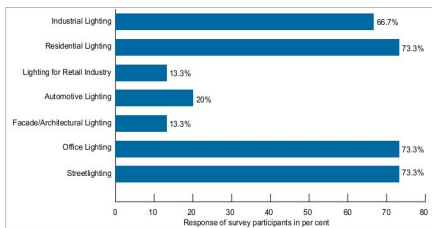


Fig. 2: Prediction about demand-generating applications for LED lighting

lighting. This is a replication of the CFL revolution, which will unfold over the next two to three years, as price reduction and the government's distribution plans are already in place. Conventional lighting is already showing a decline in all segments. The CFL market has shrunk by 15 per cent, while fluorescent and incandescent lamp markets have shrunk by five per cent each.

Market opportunities

Considering application-wise structural specifications, LED lights can be broadly classified into three buckets:

- Indoor lighting
- Outdoor lighting
- Architectural lighting

The industry and the government have opened up new possibilities in achieving energy efficiency in lighting and in illuminating a wide variety of application areas for both indoor and outdoor lighting categories. LEDs, being versatile products, can be used for residential lighting, streetlighting, downlights, landscap-

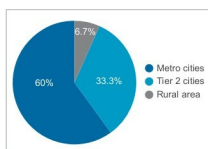


Fig. 3: Prediction about demand-generating demographic areas for LED lighting

ing, monument lighting, signage, traffic signals, security lights, industrial lighting, office-space lighting, automotive lighting and much more. Low energy consumption, low costs, modular designs and ease of use have made LED lighting the first choice in industrial, commercial and domestic applications.

According to approximately 73 per cent survey participants, the top three demand-generating application areas (Fig. 2) are:

1. Streetlighting
2. Residential lighting
3. Office-space lighting

In India, government-backed schemes are leading the demand in the residential segment. Increased focus of the government to provide sustainable lighting solutions, especially in the lamp category, is expected to further increase the adoption of LEDs at the grassroots level. Demand for LEDs, backed by government policies, has grown

Did you know

ELCOMA had estimated a demand of ₹ 55 billion by 2016. This estimate has been revised to ₹ 80 billion in view of the government promoting LED tubelights for public distribution, with long-term payment schemes in the municipal sector. It is estimated that by 2018, about 30 million LED streetlights will be replaced in more than 100 cities, 770 million LED retrofit lamps will be fitted in the public-distribution domain and more than 100 million LED tubelights will be fitted in government offices and homes.